
TOP U.S. BANK PROFITABILITY, FTP& SCENARIO ANALYTICS REPORT

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TOOLS: PYTHON, PANDAS, POWER BI, DAX, SEC EDGAR API, FRED

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2 EXECUTIVE SUMMARY

This report looks at six large U.S. banks: JPMorgan Chase, Bank of America, Wells Fargo, Citigroup, U.S. Bancorp, and Capital One. The reported performance metrics come from public SEC EDGAR financial statement data. Market-rate and macroeconomic inputs come from FRED. The FTP and stress-scenario results are modeled from those public inputs, so they should be read as analytical estimates rather than internal bank forecasts, regulatory stress-test results, or management guidance.

Table 1. Executive Summary Scorecard

Metric	Bank
Highest Net income	JPMorgan Chase
Highest ROE	JPMorgan Chase
Highest ROA	Capital One
Best Efficiency ratio	Citigroup
Weakest expense efficiency	Wells Fargo
Strongest Modeled FTP profile adjusted by size	Citigroup
Most Credit stress sensitivity	Wells Fargo / U.S. Bancorp

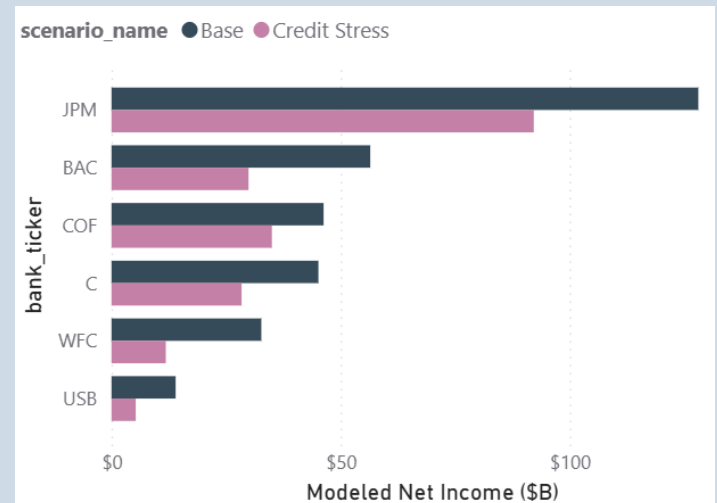


Figure 1. Base vs. Credit Stress Modeled Net Income by Bank

Note: Values are modeled scenario outputs calibrated from public SEC EDGAR and FRED data (Currently using SOFR for Short term rate, and 2Y Treasury Rate for asset transfer rate). They are not actual bank forecasts or internal stress-test results

The table and figure above summarize the main findings. JPMorgan Chase leads on most headline measures, including net income, ROE, but much of that advantage comes from scale. Its larger balance sheet and earnings base make it the strongest bank in dollar-based comparisons. Capital One stands out on ROA, which suggests stronger asset-level profitability.

The stress results tell a different story. Wells Fargo and U.S. Bancorp show the greatest vulnerability under the Credit Stress scenario. Wells Fargo's modeled net income falls from \$32.70B in the Base case to \$11.85B under Credit Stress, a decline of about 63.8%. U.S. Bancorp falls from about \$14.00B to \$5.29B, a decline of roughly 62.2%. By comparison, JPMorgan Chase declines from \$128.09B to \$92.17B, or about 28.0%, while Capital One declines from \$46.29B to \$35.01B, or about 24.4%.

JPMorgan Chase leads in most of the headline measures, but much of that advantage comes from scale. Its larger balance sheet and earnings base make it the top bank in dollar-based comparisons, including net income and modeled FTP contribution. Wells Fargo and U.S. Bancorp on the other hand show the greatest vulnerability under the Credit Stress scenario, with modeled net income falling by roughly 63.8% and 62.2%, respectively. That suggests their earnings are more exposed to credit-loss pressure in the modeling, even though they remain profitable under the stress case.

3 BANK PEER PROFITABILITY OVERVIEW

This section compares reported profitability and expense efficiency across the six-bank peer group from 2018 to 2025. The analysis uses public SEC EDGAR financial statement data for JPMorgan Chase, Bank of America, Wells Fargo, Citigroup, U.S. Bancorp, and Capital One. Profitability is evaluated using cumulative net income, ROA, ROE, efficiency ratio, and expense/assets.

ROA and ROE are calculated directly from SEC-reported financial statement fields and annualized from quarterly reported values. The efficiency ratio is calculated as noninterest expense divided by operating revenue, where operating revenue includes net interest income plus noninterest income.

Bank	Net Income (\$B)	ROA	ROE	Efficiency Ratio	Expense / Assets
JPMorgan Chase	299.16	1.03%	12.43%	55.33%	2.16%
Bank of America	218.43	0.92%	9.79%	62.95%	2.07%
Wells Fargo	141.59	0.91%	9.49%	68.89%	2.87%
Citigroup	94.72	0.53%	6.02%	54.13%	1.75%
U.S. Bancorp	52.33	1.10%	11.90%	60.31%	2.54%
Capital One	44.77	1.27%	9.25%	55.05%	4.26%

Table 2. Bank Peer Profitability Overview

Note: Net income is cumulative for 2018-2025. ROA, ROE, efficiency ratio, and expense/assets are calculated from SEC-reported financial statement fields.

3.1 WHICH BANK PERFORMED BEST

From 2018 to 2025, JPMorgan Chase, Capital One, and U.S. Bancorp were the strongest performers in different ways. JPMorgan Chase performed best on earnings scale and capital productivity, generating the largest cumulative net income at approximately \$299.16 billion and the highest ROE at 12.43%. Capital One delivered the highest ROA at 1.27%, indicating the strongest asset-level profitability, though its ROA trend was more volatile than larger diversified peers. U.S. Bancorp also performed strongly, with 1.10% ROA and 11.90% ROE.

On the other hand, Wells Fargo showed the weakest expense efficiency, with the highest efficiency ratio at 68.89%, while Citigroup had the weakest profitability profile, with the lowest ROA at 0.53% and ROE at 6.02%. Bank of America generated large cumulative earnings, but its profitability and efficiency metrics were less favorable than JPMorgan Chase.

Overall, JPMorgan Chase appears to be the strongest overall performer. It generated the highest cumulative net income, produced the highest ROE at 12.43%, maintained a solid ROA at 1.03%, and kept its efficiency ratio relatively low at 55.33%. While Capital One led on ROA and Citigroup had the lowest efficiency ratio, JPMorgan showed the best balance of scale, profitability, capital productivity, and operating efficiency.

4 DATA SOURCES & METHODOLOGY

This project uses two main public data sources: SEC EDGAR and FRED. Bank-level financial statement data comes from the SEC EDGAR Company Facts API. The analysis focuses on six large U.S. banks: JPMorgan Chase, Bank of America, Wells Fargo, Citigroup, U.S. Bancorp, and Capital One. The reported bank financial data covers 2018Q2 through 2026Q1, while the main historical comparison in this report uses 2018-2025 to avoid mixing full-year results with partial 2026 data.

The SEC data includes key financial statement fields such as net income, interest income, interest expense, noninterest income, noninterest expense, total assets, deposits, loans, equity, and selected regulatory capital fields where available. The cleaned SEC dataset includes approximately 2,402 long-format financial statement rows and 255 bank-quarter rows in the wide financial table. The long-format table preserves the SEC XBRL concept, filing form, filing date, accession number, and period-source classification, so reported values can be traced back to public filings.

The data pipeline was built in Python using requests and pandas. Raw SEC and FRED files are saved separately from the cleaned Power BI outputs. SEC data is organized in two formats: a long table for source traceability and a wide table for financial calculations. FRED data is also cleaned into Power BI-ready market-rate and macroeconomic tables. The market-rate dataset includes approximately 13,121 observations from 2018Q2 through 2026Q2, while the macroeconomic dataset includes approximately 1,095 observations over the same general period.

Historical ratios are calculated directly from SEC-reported fields. ROA is calculated as annualized net income divided by total assets, and ROE is calculated as annualized net income divided by total equity. Efficiency ratio is calculated as noninterest expense divided by operating revenue, where operating revenue equals net interest income plus noninterest income. These ratios support the historical peer comparison and also help calibrate the modeled scenario layer.

The scenario model starts from each bank's latest public SEC baseline and applies assumptions for rate shocks, deposit beta, loan yield beta, expense growth, credit loss rate, capital ratio, loan growth, and deposit growth. The model includes Base, Rate Up 100bp, Rate Down 100bp, and Credit Stress scenarios. The scenario table includes 256 bank-scenario-quarter rows and projects modeled results through 2028Q1. FRED rates such as SOFR, Fed Funds, Prime Rate, and Treasury rates provide the public rate environment for the funding-cost and transfer-pricing assumptions. An detailed explanation is provided in the scenario section.

The FTP layer models Funds Transfer Pricing by assigning an internal funding charge to loans and an internal funding credit to deposits. This separates loan spread income from deposit funding value and adds a banking-specific profitability view. Historical data in the report is real public data, while scenario and FTP outputs are modeled estimates calibrated from public SEC and FRED data. They are not actual internal bank forecasts, management guidance, regulatory stress-test results, or investment recommendations. The detailed explain of FTP is provided in the FTP section.

5 EXPENSE EFFICIENCY BENCHMARK

This section compares how efficiently each bank converts operating expense into revenue and profitability. The analysis focuses on noninterest expense, operating revenue, efficiency ratio, expense/assets, and ROA from 2018 to 2025. Efficiency ratio is calculated as noninterest expense divided by operating revenue, where operating revenue equals net interest income plus noninterest income. A lower efficiency ratio generally indicates better cost discipline, but it should not be read in isolation from profitability or business mix.

Bank	Efficiency Ratio	Noninterest Expense (\$B)	Operating Revenue (\$B)	Expense / Assets	ROA	Efficiency Gap (ppts)
Bank of America	62.95%	491.51	780.78	2.07%	0.92%	9
Citigroup	54.13%	312.13	576.63	1.75%	0.53%	0
Capital One	55.05%	149.90	272.30	4.26%	1.27%	1
JPMorgan Chase	55.33%	627.94	1,134.83	2.16%	1.03%	1
U.S. Bancorp	60.31%	121.36	201.24	2.54%	1.10%	6
Wells Fargo	68.89%	447.19	649.14	2.87%	0.91%	15

Table 3. Expense Efficiency Summary

Efficiency ratio = noninterest expense / operating revenue

5.1 WHICH BANK IS CONTROLLING OPERATING EXPENSES BETTER?

Based on efficiency ratio, Citigroup has the lowest efficiency ratio at 54.13%, followed by Capital One at 55.05% and JPMorgan Chase at 55.33%. Wells Fargo shows the weakest expense efficiency, with the highest efficiency ratio at 68.89%. Bank of America and U.S. Bancorp also screen weaker than the peer leaders, with efficiency ratios of 62.95% and 60.31%, respectively.

The Citigroup appears cost-efficient because it spends the least relative to operating revenue, but it also has the lowest ROA at 0.53%. Compared with the other banks, this means Citigroup does not convert its asset base into earnings as effectively. JPMorgan Chase has a similar efficiency ratio at 55.33%, but a much stronger ROA of 1.03% and a larger revenue base. Capital One has the highest ROA at 1.27%, even though its expense/assets ratio is also the highest at 4.26%.

JPMorgan Chase seems like strongest on a balanced operating cost with revenue. While, It does not have the lowest efficiency ratio, but when combining efficiency ratio, ROA, and the operating revenue base JPMorgan seems to be the strongest performer. Wells Fargo looks weakest because it has both the highest efficiency ratio and elevated expense/assets, which points to weaker operating leverage compared with peers.

6 FTP PROFITABILITY ATTRIBUTION

This section uses a funds transfer pricing, or FTP, framework to separate modeled profitability into loan spread income and deposit funding value. The FTP results are not actual internal bank FTP data, because banks do not disclose their internal transfer pricing curves. Instead, the model estimates FTP using public SEC EDGAR financial statement data and FRED interest rate data. SEC filings provide the balance sheet and income statement anchors, including loans, deposits, interest income, interest expense, assets, and equity. FRED provides the market-rate inputs used to estimate transfer pricing assumptions.

The model starts with each bank's public loan and deposit base. Loans receive an internal funding charge, and deposits receive an internal funding credit. The loan charge represents the estimated funding cost assigned to the loan portfolio. The deposit credit represents the value of deposit funding, particularly when customer deposit costs are below market funding rates. The FTP asset transfer rate is modeled from the 2-year Treasury rate plus a spread, while the FTP deposit crediting rate is modeled from SOFR plus a spread. Scenario assumptions then adjust these rates through rate shocks, deposit beta, and loan yield beta.

Bank	FTP Net Spread Income (\$B)	Total Loans (\$B)	Total Assets (\$B)	FTP Net Spread / Loans	FTP Net Spread / Assets
Bank of America	1,173.30	24,746.53	95,137.49	4.74%	1.23%
Citigroup	1,103.64	13,453.27	71,197.41	8.20%	1.55%
Capital One	397.60	8,333.70	14,068.53	4.77%	2.83%
JPMorgan Chase	1,627.86	34,179.89	116,463.60	4.76%	1.40%
U.S. Bancorp	213.54	10,594.43	19,099.28	2.02%	1.12%
Wells Fargo	494.57	15,516.94	62,243.31	3.19%	0.79%

Table 4. FTP Profitability Attribution with Size-Adjusted Ratios

(FTP Net Spread Income = FTP Loan Spread Income + FTP Deposit Spread Income, FTP Loan Spread Income = Customer Loan Interest Income - FTP Loan Charge, FTP Deposit Spread Income = FTP Deposit Credit - Customer Deposit Interest Expense, FTP Asset Transfer Rate = 2Y Treasury Rate + 0.50% spread + scenario rate adjustment, FTP Deposit Crediting Rate = SOFR + 0.20% spread + scenario rate adjustment)

6.1 WHICH BANK GENERATES THE MOST MODELED PROFITABILITY FROM LOAN SPREADS AND DEPOSIT FUNDING VALUE?

JPMorgan Chase has the strongest modeled FTP profile in dollar terms. It generated about \$1.63 trillion of FTP net spread income, the highest in the peer group. That result is partly a scale story, since JPMorgan has the largest balance sheet, but it also shows a strong contribution from both loan spread income and deposit funding value.

Citigroup looks different. It does not have the highest total FTP income, but it has the highest FTP net spread income relative to loans, at about 8.20%. That means Citigroup's modeled FTP contribution is especially strong after adjusting for the size of its loan portfolio. In this view, JPMorgan leads by scale, while Citigroup looks strongest on a loan-adjusted basis.

Bank of America also shows a large FTP contribution, especially from its deposit credit, while Capital One looks more loan-spread driven. Wells Fargo is below the larger peers in total FTP net spread income. U.S. Bancorp is the weakest in this FTP view, with the lowest FTP net spread income at about \$213.54B and the lowest FTP net spread-to-loans ratio at about 2.02%.

The main conclusion is that Citigroup performs best on a size-adjusted FTP basis. JPMorgan produces the most modeled FTP income overall, but Citigroup generates the strongest modeled FTP profitability for each dollar of loans. That makes Citigroup the best performer when the comparison is adjusted for loan portfolio size.

7 SCENARIO STRESS MODEL

This section evaluates how bank profitability changes under different rate, credit, expense, and capital assumptions. This section is based on modeled scenario data calibrated from public SEC EDGAR and FRED inputs. The model starts from each bank's public financial baseline, including loans, deposits, assets, equity, income, and expense levels, then applies scenario assumptions for interest rates, deposit repricing, loan yield repricing, credit losses, expense growth, and capital requirements.

7.1 SCENARIO ASSUMPTIONS

Scenario	Rate Shock	Deposit Beta	Loan Yield Beta	Expense Growth	Credit Loss Rate	Capital Ratio
Base	0 bp	0.35	0.55	3.00%	0.60%	9.50%
Rate Up 100bp	+100 bp	0.45	0.65	3.30%	0.70%	10.00%
Rate Down 100bp	-100 bp	0.25	0.45	2.80%	0.60%	9.50%
Credit Stress	+50 bp	0.50	0.50	4.50%	1.80%	11.00%

Table 5. Scenarios modeling

The model uses four cases: Base, Rate Up 100bp, Rate Down 100bp, and Credit Stress. The Base case uses no rate shock and serves as the comparison point for the other scenarios. SOFR is used as the short-term funding-rate anchor because it is a public overnight funding benchmark and is directly relevant to modern bank funding-cost assumptions.

In the Rate Up 100bp scenario, SOFR increases by 1.00 percentage point. Loan yields and deposit costs both rise, but not by the same amount. The model assumes a loan yield beta of 0.65 and a deposit beta of 0.45, meaning loan yields capture more of the rate increase than deposit costs. This creates a positive earnings effect when asset repricing is stronger than deposit repricing.

In the Rate Down 100bp scenario, SOFR falls by 1.00 percentage point. The model uses a loan yield beta of 0.45 and a deposit beta of 0.25. This reflects the idea that loan yields may decline faster than deposit costs when rates fall, especially if deposit costs already have limited room to move lower.

The Credit Stress case is the most severe scenario. It combines a smaller rate increase of 50 basis points with higher deposit sensitivity, higher expense growth, weaker balance sheet growth, a higher capital requirement, and a much higher credit loss rate. This scenario is designed to pressure profitability from several directions at once, especially through credit losses.

7.2 NET INCOME SENSITIVITY SCENARIOS

Bank	Base Net Income (\$B)	Credit Stress Change	Rate Down 100bp Change	Rate Up 100bp Change
Bank of America	56.48	-47.0%	-22.7%	+14.1%
Citigroup	45.16	-37.1%	-22.3%	+14.5%
Capital One	46.29	-24.4%	-4.8%	+2.9%
JPMorgan Chase	128.09	-28.0%	-14.1%	+8.9%
U.S. Bancorp	13.00	-59.3%	-10.1%	+16.8%
Wells Fargo	32.70	-63.8%	-23.4%	+13.1%

Table 6. Modeled Net Income by Scenario (\$B)

Modeled Net Income= (Modeled Net Interest Income+ Modeled Noninterest Income- Modeled Noninterest Expense- Modeled Provision)× (1 - Tax Rate) Tax rate= 21%, Others ratios come from banks' most recent ratio from SEC filing.

JPMorgan Chase produces the highest modeled net income in every scenario. In the Base case, JPM generates \$128.09B, and even under Credit Stress it remains the largest earnings contributor at \$92.17B. This is an important result, but it should be read carefully because JPM's lead is partly driven by its much larger balance sheet and earnings base.

Wells Fargo shows the sharpest decline under Credit Stress. Its modeled net income falls from \$32.70B in the Base case to \$11.85B, a decline of about 63.8%. U.S. Bancorp also shows a severe decline, falling from \$13.00B to \$5.29B, or about 59.3%. These two banks appear most exposed when the model applies higher credit losses, higher expense growth, and weaker balance sheet growth.

Capital One is the most stable across the scenarios. Its modeled net income falls only 4.8% in the Rate Down 100bp case and increases 2.9% in the Rate Up 100bp case. Even under Credit Stress, Capital One declines about 24.4%, which is much smaller than Wells Fargo, U.S. Bancorp, Bank of America, and Citigroup. In this model, Capital One's earnings are less sensitive to both rate shocks and credit stress.

The main conclusion is that Wells Fargo and U.S. Bancorp carry the greatest modeled downside risk under Credit Stress, while Capital One shows the most stable earnings profile across scenarios. JPMorgan Chase remains the largest bank by modeled net income, but Capital One looks strongest on relative earnings stability.

8 CONCLUSION

The strongest overall bank in this peer group is JPMorgan Chase. It leads on cumulative net income, ROE, and total modeled FTP profitability, while still showing solid ROA and a competitive efficiency ratio. Part of that result is clearly driven by size, but JPMorgan is not only winning because it is large. The bank also shows a strong balance between earnings power, capital productivity, operating efficiency, and funding value.

Citigroup is the most interesting result in the FTP analysis. It does not have the largest total FTP income, but it produces the highest FTP net spread income relative to loans. That makes Citigroup the best performer on a loan-adjusted FTP basis. In other words, JPMorgan leads in total dollars, but Citigroup looks strongest when the comparison is scaled to the size of the loan portfolio.

Capital One also deserves attention. It has the highest ROA in the peer group and shows the most stable modeled net income across the scenario cases. Its business mix appears more asset-yield driven, which helps explain why it performs differently from the larger diversified banks.

The weakest stress results come from Wells Fargo and U.S. Bancorp. Under Credit Stress, Wells Fargo's modeled net income falls from \$32.70B to \$11.85B, while U.S. Bancorp falls from \$13.00B to \$5.29B. These are the largest percentage declines in the peer group, which suggests that both banks are more exposed to credit-loss pressure in this model.

The main takeaway is that bank performance changes depending on the lens used. JPMorgan Chase is the strongest overall performer, Citigroup leads on size-adjusted FTP profitability, and Capital One shows the most stable modeled earnings profile. The scenario work also makes one point very clear: rate changes matter, but credit losses matter more. Higher rates can support earnings when loan yields reprice faster than deposit costs, but a credit stress environment can quickly reduce profitability even for large, profitable banks.

All modeled outputs in this report should be read as public-data-based estimates, not internal bank forecasts or regulatory stress-test results. The value of the analysis is its transparency: every result is tied back to public SEC EDGAR financial data, FRED rate data, and clearly stated modeling assumptions.

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APPENDIX: SEC COMPANY FACTS API ENDPOINTS

JPMorgan Chase & Co.: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000019617.json>

Bank of America Corp.: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000070858.json>

Wells Fargo & Company: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000072971.json>

Citigroup Inc.: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000831001.json>

U.S. Bancorp: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000036104.json>

Capital One Financial Corp.: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000927628.json>